THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

Road No. 5, VKIA, Jaipur — 9887258679

CLASS 10 SOCIAL SCIENCE — ECONOMICS CHAPTER TEST SET B

Economics Chapter 3: **Money and Credit** | RBSE Board Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Answers must be written in the answer book in the order of the questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. Modern forms of money include: 1

(a) grains and cattle **(b)** currency and demand deposits
(c) gold and silver coins only **(d)** land and buildings

2. The rupee is widely accepted as a medium of exchange because: 1

(a) it is made of silver
(b) it is authorised by the government of the country
(c) it is made of gold
(d) it is useful in everyday life as a commodity

3. In November 2016, which notes were declared invalid in India (demonetisation)? 1

(a) Rs 500 and Rs 1,000 **(b)** Rs 10 and Rs 20
(c) Rs 50 and Rs 2,000 **(d)** Rs 100 and Rs 200

4. Which of the following is NOT a formal source of credit? 1

(a) Moneylenders **(b)** Cooperative societies
(c) Commercial banks **(d)** Other formal agencies

5. **Assertion (A):** Poor households depend more on informal sources of credit. 1
Reason (R): They often lack collateral that banks require.
(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is not the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

6. Of all loans taken by rich urban households, what per cent is from the formal sector (Graph 2)? 1

(a) 83 per cent **(b)** 54 per cent **(c)** 46 per cent **(d)** 17 per cent

7. What is the annual interest rate on Megha's housing loan? 1

(a) 60 per cent **(b)** 5 per cent **(c)** 12 per cent **(d)** 8.5 per cent

8. The interest rate charged by the moneylender to Shyamal earlier was: 1

(a) 3 per cent per month **(b)** 8.5 per cent per annum
(c) 1 per cent per month **(d)** 5 per cent per month

9. In an SHG, most decisions on savings and loans are taken by: 1

(a) the members **(b)** the government **(c)** the bank **(d)** an NGO

10. Which of the following is the main reason for poor not getting bank loans? 1

(a) Low interest rate **(b)** RBI orders

(c) Presence of too many banks **(d)** Absence of collateral

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 10–15 words each.

11. What is credit? 2

12. What is a debt trap? 2

13. Why do lenders ask for collateral? 2

14. Mention any two examples of collateral. 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 30–40 words each.

15. Compare the terms of credit for Arun, Shyamal and Rama in Sonpur. 3

16. Why is the cost of borrowing from informal lenders higher? What are its effects? 3

17. Why might banks not be willing to lend to certain borrowers? 3

OR

Why do the poor depend on moneylenders in spite of high interest? 3

18. How do cooperatives provide cheap credit? Explain with the example of Krishak Cooperative. 3

OR

Explain how e-transfer and digital payments reduce cash use after demonetisation. 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Explain the modern forms of money and why they are accepted. 5

OR

Explain how a payment is made by cheque using the example of M. Salim. 5

20. Analyse why the poor get less formal credit and suggest ways to improve their access. 5

OR

Discuss the positive and negative roles of credit with examples. 5

END OF QUESTION PAPER — Total: 40 Marks